

# THE DAILY FINANCE BRIEF

Financial News in Plain English

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Edition No. 16

Personalised for Rishabh Srinivasan

## ECONOMY

# Federal Reserve Expected to Keep Interest Rates Steady Amid Inflation Worries

The Federal Reserve (the U.S. central bank that controls interest rates) is expected to keep interest rates unchanged in its upcoming meeting. This decision comes as rising oil prices have led to concerns about inflation (the general rise in prices of goods and services over time). While many economists initially predicted a rate cut, the

recent increase in energy costs has shifted expectations towards potential rate hikes later this year.

This is important for everyday people because interest rates affect the cost of borrowing money. If rates rise, loans for homes, cars, and credit cards could become more expensive, impacting household budgets.

Source: CBS News

## MARKETS

## Stocks Rise as Oil Prices Stabilize, But Bond Yields Remain High

U.S. and European stock markets have seen a slight increase as oil prices have stabilized after recent fluctuations. The Dow Jones Industrial Average, an index that tracks 30 large U.S. companies, rose by 0.5%, while the S&P 500, which tracks 500 large U.S. companies, increased by 0.4%. However, bond yields (the return investors earn from lending money to the government) remain high due to ongoing inflation concerns.

This news is relevant for everyday people as it indicates the overall health of the economy. Rising stock prices can boost retirement accounts and investments, while high bond yields may affect interest rates on loans.

Source: Livemint

## Global AI Debt Issuance Expected to Exceed \$500 Billion by 2026

According to Morgan Stanley, a financial services company, global debt issuance related to artificial intelligence (AI) is projected to surpass \$500 billion by 2026. This increase is driven by major technology companies seeking to finance their AI-related projects. As these companies invest heavily in AI infrastructure, the overall bond market is expected to see increased activity.

This news is relevant for everyday people as it indicates the growing importance of AI in the economy, which could lead to new job opportunities and changes in various industries.

Source: Investing.com

## NerdWallet Reports Increased Financial Preparedness Among Americans

NerdWallet's Financial Resilience Index, which measures how prepared Americans are for financial challenges, has reached a new high of 63.1 out of 100. This increase indicates that many people are feeling more confident about their finances. However, the index also highlights that younger generations, particularly Generation Z, are struggling more than others.

This is significant for ordinary people as it reflects overall consumer confidence, which can influence spending and saving habits. A higher index suggests that more people are ready to handle financial emergencies.

Source: Morningstar

## COMPANIES

## Big Tech Faces Investor Scrutiny Over AI Spending

Major technology companies, including Alphabet and Tesla, have seen significant drops in their market value due to concerns about their heavy spending on artificial intelligence (AI) without immediate returns. In one trading session, nearly \$800 billion was lost in market value, raising questions about the profitability of these investments.

This is important for everyday people because the performance of these tech companies can affect stock market investments and retirement funds, which many people rely on for their financial future.

Source: Global Advisors

## Shares of Wise Drop After Bank Application Denied

Shares of Wise, a financial technology company, fell by 10% after the U.S. government denied its application to create a national trust bank. This decision was based on new policies from the Federal Reserve (the U.S. central bank) regarding payment system access. Wise plans to reapply under a new framework that focuses on digital assets like stablecoins.

This is significant for everyday people because the success of financial technology companies can influence the services and fees consumers face in their banking experiences.

Source: MarketScreener

## Understanding AI-Driven Capital Expenditure

AI-driven capital expenditure refers to the significant investments companies make in infrastructure, technology, and resources to develop and implement artificial intelligence solutions. This includes spending on data centers, specialized hardware, software development, and hiring skilled workers. The recent surge in AI investments highlights the growing importance of this technology in various industries.

This concept is relevant for everyday people as it indicates how companies are preparing for the future, which could lead to new job opportunities and changes in the way we work.

Source: Global Advisors

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